SAUDI ARABIA'S OIL CUT

THE CRUDE SHOCK

SAUDI ARABIA IS SET TO CUT ITS CRUDE OIL PRODUCTION BY A MILLION BARREL PER DAY. WHAT TRIGGERED THIS MOVE AND HOW IT POSES A THREAT TO INDIA'S ECONOMY

By M.G. ARUN

The decision taken by Saudi Arabia, the world's second-largest crude oil producer with a 12 per cent global share, to cut its oil output by one million barrels a day could pose a threat to the Indian economy, which is still recovering from the Covid crisis.

The cut, to come into effect in July, intends to shore up the price of crude oil, currently around $75 (Rs 6,170) a barrel for Brent crude, the benchmark.

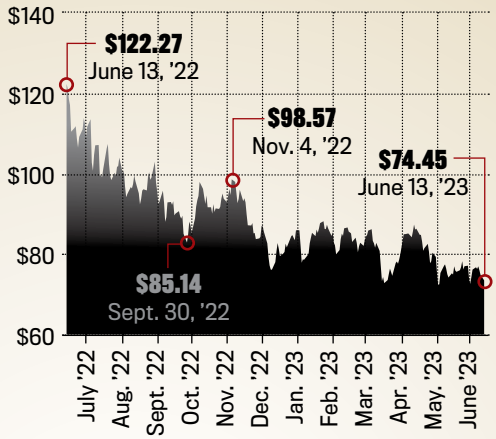
The move comes on the back of another production cut by the 13-member Organization of the Petroleum Exporting Countries (OPEC) in April.

For India, which relies on imports to meet 85 per cent of its oil requirement, this comes as a fresh challenge. In several cities, petrol is already selling for over Rs 100 a litre. Higher diesel prices would also drive up prices of various goods by making their transportation costlier.

WHAT TRIGGERED THE OIL PRODUCTION CUTS?

Oil-producing nations want to shore up crude oil prices that have been dipping for several months

BRENT CRUDE PRICES PER BARREL



WHO ARE THE TOP OIL PRODUCERS?

The US-led oil production in 2022, with Saudi Arabia and Russia close behind

1 USA 20.2	6 Iraq 4.6
2 Saudi Arabia 12.1	7 UAE 4.2
3 Russia 10.9	8 Brazil 3.8
4 Canada 5.7	9 Iran 3.7
5 China 5.1	10 Kuwait 3

(Figures in million barrels per day)



WHO ARE THE TOP OIL EXPORTERS TO INDIA?

Iraq, Saudi Arabia and Russia were India's top crude oil suppliers in April-Dec. 2022

1 Iraq 26.7	2 Saudi Arabia 22.7	3 Russia 21.8	4 UAE 13.8
5 USA 8.3	6 Kuwait 6.4	7 Nigeria 5.3	8 Mexico 2.4
		9 Angola 2.4	10 Oman 2.3

In April 2023, Russia was the top crude oil exporter to India, supplying 1.68 million barrels per day

(Figures in $ billion)

Graphics by TANMOY CHAKRABORTY